

Ethics and Social Justice

by Sophia



WHAT'S COVERED

In this lesson, you will learn about social justice theory, a modern ethical model with more emphasis on promoting equity. Specifically, this lesson will cover:

1. Principles and Procedures

In the previous tutorial, you learned that a business must have a shared set of values to be effective. In the absence of universal, objective values, you can at least accept that there must be ground rules for businesses to trust one another, work together, and create climates where stakeholders feel confident and comfortable. If a business were to regularly cheat their customers, for example, or if there was open tolerance of wrongdoing by organizations, people would not want to shop there, work there, or do business with them. But ethics is more than a set of “do not” commandments. Ideally, ethics also tells people what they should do—a way to utilize their energy to make for a better organization, a better industry, and even a better world.

John Rawls (1921–2002) provides one ethical theory for doing this. It differs from the older ethical theories in that it provides a more proactive approach to ethics. Rawls wanted to change the debate that had prevailed throughout the 1960s and 1970s in the West about how to maximize wealth for everyone. He sought not to maximize wealth, which was a utilitarian goal, but to establish justice as the criterion by which goods and services were distributed among the populace. Justice, for Rawls, had to do with fairness—in fact, he frequently used the expression justice as fairness—and his concept of fairness was a political one that relied on the state to take care of the most disadvantaged. In his justice theory, offered as an alternative to the dominant utilitarianism of the times, the idea of fairness applied beyond the individual to include the community, as well as analysis of social injustice with remedies to correct it. In *A Theory of Justice* (1971), Rawls introduced a universal system of fairness and a set of procedures for achieving it. He advocated a practical, empirically verifiable system of governance that would be political, social, and economic in its effects.

Rawls’s justice theory contains three principles and five procedural steps for achieving fairness.

The principles are:

1. An original position.
2. A **veil of ignorance**.
3. Unanimity of acceptance of the original position.

By an original position, Rawls meant a hypothetical situation in which rational people can arrive at a

contractual agreement about how resources are to be distributed in accordance with the principles of justice as fairness. This agreement was intended to reflect not present reality but a desired state of affairs among people in the community. For example, the laws of the land apply equally to all, always.

The veil of ignorance is a condition in which people arrive at the original position imagining they have no identity regarding age, sex, ethnicity, education, income, physical attractiveness, or other characteristics. In a business context, they would assume no position within the company. The veil of ignorance means they do not know if they are the CEO or the employee. They have to make the decision knowing that they could occupy any role in the company, and it would be fair. One group, like administration, would not be favored over another group, like workers. In this way, they reduce their bias and self-interest.

Lastly, unanimity of acceptance is the requirement that all agree to the contract before it goes into effect. People must agree that the laws apply to everyone equally, and pretend they do not know their specific roles, responsibilities, or social status when they reach agreements; they should find the decision fair in any position they find themselves. Rawls hoped this justice theory would provide a minimum guarantee of rights and liberties for everyone, because no one would know, until the veil was lifted, whether they were male, female, rich, poor, tall, short, intelligent, a minority, Roman Catholic, disabled, a veteran, and so on. In a business context, a person would act as if they do not know if they are an executive, a middle manager, or a part-time warehouse worker.



IN CONTEXT

Imagine a situation where a union representing the floor workers in a factory are in a contract negotiation with the management. Since the last contract was negotiated three years ago, compensation has not kept up with the cost of living. At the same time, the company has stayed competitive in a crowded market by boasting the lowest prices to consumers. They argue that meeting the union's demands will either result in a price hike that will cost the company this competitive advantage, or result in a lower profit margin that causes the company's stock to dive.

Normally, the union would argue for the workers and try to get the best package, while managers try to keep the company profitable. Consider how these negotiations would be held following Rawls's process, trying to reach unanimous agreement on a contract under this veil of ignorance, as if they do not know their role in the company, or what consequences would be for their decisions. Like the

blindfolded statue of justice, in justice theory this would compel all parties to create fair policies that benefit everyone, regardless of their particular position in the organization.

The five procedural steps to resolving a conflict in an ethical manner are:

1. Entering into the contract.
2. Agreeing unanimously to the contract.
3. Including basic conditions in the contract such as freedom of speech.
4. Maximizing the welfare of the most disadvantaged persons.
5. Ensuring the stability of the contract.

These steps created a system of justice that Rawls believed gave fairness its proper place above utility and the bottom line. The theory also relies on a belief in people's instinctive drive for fairness and equitable treatment.



TRY IT

Recall the scenario where a manufacturing company is trying to resolve a contract dispute with the union representing their workers, and the mediator is following Rawls' procedural steps. Answer the following questions.

What is the first requirement to enter negotiations?

+

All parties must agree that they are going to negotiate a contract that they will abide by.

If there is a contract most, but not all, agree to, what happens next?

+

Negotiations must continue, because unanimous agreement is required.

One issue is the dress code; workers would like to dress more casually than the current code requires. What is the priority of the arbitrator if they follow Rawls's procedure?

+

Contracts should assure rights to expression, ensuring as much freedom as possible within safety guidelines.

As the arbitrators consider each group of stakeholders, who would be the top priority?

+

In Rawls's plan, the first consideration is given to those most in need; in this case, it might be the workers with the lowest pay, least job security, and highest exposure to risk.

If negotiations have been successful and have unanimous consent, what is a final review concerned with?

+

Arbitrators would be concerned with the stability of the contract, and the ability of all parties to live up to it. For example, pay raises that surpass earnings could not be sustained.



Veil of Ignorance

In justice theory, a practice of suspending any knowledge of one's own personal identity, position, or stakes in determining ethical decisions; this compels decision makers to maximize fairness.

2. Justice Theory Compared to Other Ethical Models

Recall that in utilitarianism, the ethical choice is made clear by that which brings the most happiness to the most people. Rawls's critique of utilitarianism is that this can lead to tyranny. If you define pleasure as what the majority wants, the minority can suffer in terrible ways. This is a concern in any democracy, because while people generally believe that "majority rule" is a good way to make decisions, this puts the minority at risk. In his inaugural address, George Washington acknowledges this:

"[T]hough the will of the majority is in all cases to prevail, that will to be rightful must be reasonable; that the minority possess their equal rights, which equal law must protect and to violate would be oppression" (Washington, 1789).

Remember that Mill's harm principle was one attempt to revise utilitarianism to avoid this peril, by emphasizing the lack of harm more than the presence of pleasure. But Mill's harm principle has its own flaw. It does not require anyone to give up anything if it has to be done through coercion or force. For example, if one person owned a bakery and another were starving, like Jean Valjean's sister in *Les Misérables*, Bentham's utilitarianism would force the baker to give up what he had to satisfy the starving person without taking into account whether the baker had greater debts, a sick spouse requiring medical treatment, or a child with educational loans. However, in Mill's utilitarianism, adhering to the harm principle would leave the starving person to his or her own devices. To put it simply, context matters.

This was the problem of distribution and redistribution that Rawls hoped to solve, not by calculating pleasure and pain, and profit and loss, but by applying fairness as a normative value that would benefit individuals and society.



BIG IDEA

Unlike other ethical models, social justice theory entails an obligation to actively help others. Rawls has similarly been criticized for promoting the same kind of coercion that can exist in utilitarianism but on the basis of justice rather than pleasure. Justice on a societal level would guarantee housing, education, medical treatment, food, and the basic necessities of life for everyone. Yet, as recent political campaigns have shown, the question of who will pay for these guaranteed goods and services through taxes is a contentious one. These are not merely fiscal and political issues; they are philosophical ones requiring us to answer questions of logic and, especially in the case of justice theory, fairness. What is one's personal responsibility to make things fair? And naturally, one must ask, what is fair?

Rawls's principles and steps assume that the way in which the redistribution of goods and services occurs would be agreed upon by people in the community to avoid any fairness issues. But concerns remain. For one, Rawls's justice, like the iconic depiction, is blind and cannot see the circumstances in which goods and services are distributed. Second, one may question whether a notion of fairness is really innate, or even possible. Third, despite the claim that justice theory is not consequentialist (meaning outcomes are not the

only thing that matters), there is a coercive aspect to Rawls's justice once the contract is in force, replacing utility with mandated fairness. Fourth, is this the kind of system in which people thrive and prosper, or, by focusing on the worst off, are initiative, innovation, and creativity dampened on the part of everyone else? Perhaps the most compelling critic of Rawls in this regard was his colleague at Harvard University, Robert Nozick (1938–2002), who wrote *A Theory of Entitlement* (1974) as a direct rebuttal of Rawlsian justice theory. Nozick argued that the power of the state may never ethically be used to deprive someone of property he or she has legally obtained or inherited in order to distribute it to others who are in need of it.



REFLECT

Do you agree more with Rawls or more with Nozick? Does the government have the ethical right and responsibility to redistribute wealth? This ethical question is at the crux of many political differences.

3. Justice Theory in Business

Still, one of the advantages of justice theory over the other ethical systems is its emphasis on method as opposed to content. The system runs on a methodology or process for arriving at truth through the underlying value of fairness. Again, in this sense it is similar to utilitarianism, but by requiring unanimity, it avoids the extremes of Bentham's and Mill's versions. As a method in ethics, it can be applied in a variety of ways and in multiple disciplines, because it can be adapted to just about any value-laden content. Of course, this raises the question of content versus method in ethics, especially because ethics has been defined as a set of cultural norms based on agreed-upon values. Methods may be most effective in determining what those underlying values are, rather than how they are implemented.

Although no ethical framework is perfect or fits a particular era completely, Rawls's justice theory has distinct advantages when applied to business in the twenty-first century. First, as businesses become interdependent and globalized, they must pay more attention to quality control, human resources, and leadership in diverse settings. What will give greater legitimacy to an organization in these areas than fairness? Fairness is a value that is cross-cultural, embraced by different social groups, and understood by nearly everyone. However, what is considered fair depends on a variety of factors, including underlying values and individual characteristics like personality. For instance, not everyone agrees on whether or how diversity ought to be achieved. Neither is there consensus about affirmative action or the redistribution of resources or income. What is fair to some may be supremely unfair to others. This presents an opportunity for engaged debate and participation among the members of Rawls's community.

Second, as you learned earlier, justice theory provides a method for attaining fairness, which could make it a practical and valuable part of training at all levels of a company. The fact that its content—justice and fairness—is more accessible to contemporary people than Confucian virtue ethics and more flexible than Kant's categorical imperative makes it an effective way of dealing with stakeholders and organizational culture.

Justice theory may also provide a seamless way of engaging in corporate social responsibility outwardly and employee development inwardly. Fairness as a corporate doctrine can be applied to all stakeholders and define a culture of trust and openness, with all the corresponding benefits, in marketing, advertising, board development, client relations, and so on. It is also an effective way of integrating business ethics into the organization so ethics is no longer seen as the responsibility solely of the compliance department or legal team. Site leaders and middle managers understand fairness, and employees probably even more so, because they are more directly affected by the lack of it. Fairness, then, is as much part of the job as it is an ongoing process of an ethics system. It no doubt makes for a happier and more productive workforce. An organization dedicated to it can also play a greater role in civic life and the political process, which, in turn, helps everyone.



SUMMARY

In this lesson, you observed there is no perfect solution or methodology to arriving at a just or ethical decision. There are many alternatives, and each has strengths and weaknesses. One newer theory is social justice theory. You learned the **principles and procedures** of this **justice theory** and saw **comparisons to other ethical theories**. In the absence of universal ethics to which all parties, cultures, languages, nations, and peoples agree and adhere, people must find ways to build on common ground and mutual understanding in order create—and maintain—sustainable, healthy, and just forms of businesses and organizations that value people and the planet as well as profit. In this way, **justice theory is one way to approach business ethics**.

Source: THIS TUTORIAL HAS BEEN ADAPTED FROM OPENSTAX "BUSINESS ETHICS". ACCESS FOR FREE AT [OPENSTAX.ORG/BOOKS/BUSINESS-ETHICS/PAGES/1-INTRODUCTION](https://openstax.org/books/business-ethics/pages/1-introduction). LICENSE: [CREATIVE COMMONS ATTRIBUTION 4.0 INTERNATIONAL](https://creativecommons.org/licenses/by/4.0/).

REFERENCE

Washington, G. (1789, April 30). Inaugural Address [speech]. National Archives and Records Administration. www.archives.gov/exhibits/american_originals/inaugtxt.html



TERMS TO KNOW

Veil of Ignorance

In justice theory, a practice of suspending any knowledge of one's own personal identity, position, or stakes in determining ethical decisions; this compels decision makers to maximize fairness.